

1. What is a free good?

- A free samples of a new product
- B health services provided by the state
- C second-hand clothing
- D sunlight

D

A **free good** is a product or resource that is **abundant and available without limit**, so it **does not have an opportunity cost** and can be consumed without reducing its availability to others. It requires no effort or resources to obtain, meaning it is not scarce.

Sunlight is available in abundance without any cost or scarcity, making it a true free good in economics.

Why are the other options wrong?

A- These are goods given away at no cost for promotional purposes, but they still require resources to produce, so they are not truly free goods.

B- These involve medical staff, equipment, and facilities, which are limited and costly to provide, so they are scarce and not free goods.

C- Second-hand clothing competes with new clothes in the market and has value, meaning it is limited in supply and subject to economic choice, so it is not a free good.

2. A firm is deciding whether to produce good X or good Y for the next five years. The predicted revenue for good X is \$20 000 per year and for good Y is \$18 000 per year.

What is the opportunity cost of producing good X?

- A \$18 000 B \$20 000 C \$90 000 D \$100 000**

C

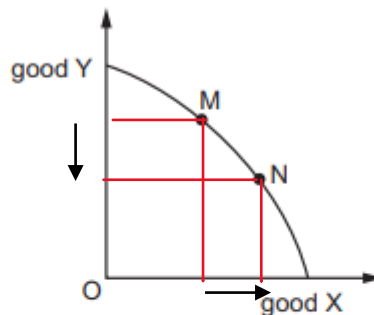
The opportunity cost of producing good X is the value of the next best alternative that must be given up, which is the revenue from producing good Y.

- Revenue from good X = \$20,000 per year
- Revenue from good Y = \$18,000 per year
- Time period = 5 years

$$18,000 \times 5 = 90,000$$

Therefore, **C** would be the correct option.

3. The diagram shows a production possibility curve (PPC) for an economy.



What is the reason for the economy moving from point M to point N?

- A** decreased unemployment in industries producing good X
- B** improvement in technology used to produce good X
- C** increased productivity of workers producing good X
- D** increased resource allocation to the production of good X

D

A Production Possibility Curve (PPC) is a graph that shows the maximum possible combinations of **two** goods or services an economy can produce using all available resources efficiently.

Moving from point M to point N occurs because the economy reallocates resources toward producing more of good X. This shift means fewer resources are used for good Y, resulting in increased output of good X and decreased output of good Y, which is shown by the movement along the production possibility curve.

Why are the other options wrong?

A- Decreased unemployment means more workers or resources are being employed, often moving the economy from a point inside the PPC (where resources are underutilized) closer to the curve (full utilization). However, the movement from point M to point N is along the curve itself, indicating resources are already fully employed.

B- Technological improvements increase the efficiency of production, enabling the economy to produce more of one or both goods with the same resources. This causes the PPC to shift outward (expand), allowing new combinations beyond the previous curve. Movement from point M to point N is along the existing curve, not an outward shift, so technology improvement is not the cause here.

C- Like technological progress, increased productivity means more output can be produced with the same inputs. This leads to the PPC expanding outward. Since the movement from M to N is along the curve and does not represent an outward shift, increased productivity cannot explain this movement.

4. What is **not** held constant when drawing a demand curve for a good or service?

- | | | |
|---|---|------------------------------|
| <ul style="list-style-type: none">A consumers' incomesB tastes and preferencesC the price of substitutesD the price of the good or service | } | Other factors (shift) |
|---|---|------------------------------|

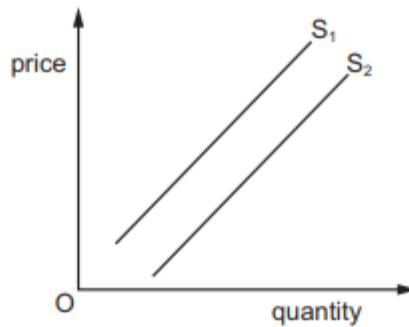
D

When drawing a demand curve for a good or service, other factors are held constant to isolate the relationship between price and quantity demanded. These include consumers' incomes, tastes and preferences, and the prices of related goods like substitutes. These non-price factors are assumed fixed so that the demand curve reflects only how changes in the good's own price affect demand.

However, the price of the good or service itself is not held constant; it is the variable that changes along the demand curve, showing how quantity demanded responds to different prices.

Therefore, the price of the good is the one factor that is not held constant when drawing a demand curve.

5. The diagram shows a shift in the supply curve for New Zealand's airlines from S_1 to S_2 .



What is the most likely cause of this shift?

- A a decrease in the costs of New Zealand's airlines
- B a decrease in the number of people wanting to fly to New Zealand
- C an increase in the price of train and bus travel in New Zealand
- D an increase in the tax on air travel in New Zealand

A

A decrease in the costs of New Zealand's airlines makes it cheaper for the airlines to operate and provide flights. With lower operating costs, airlines can supply more flights, leading to an increase in supply. This increase is shown by the rightward shift of the supply curve from S_1 to S_2 , indicating that airlines are willing and able to offer more seats.

Why are the other options wrong?

B- This affects demand, not supply. A change in the number of people wanting to fly shifts the demand curve, not the supply curve.

C- A decrease in the number of people wanting to fly to New Zealand means fewer consumers are interested in purchasing airline tickets. This leads to a reduction in demand for flights, causing the demand curve to shift leftward, reflecting lower quantities of tickets demanded at every price.

D- Higher taxes increase costs for airlines, which would decrease supply, shifting the supply curve to the left, not right. Since the graph shows a rightward shift, this option is incorrect.

6. What could cause the price of tea to increase?

- A** decrease in the demand for tea
- B** decrease in the price of a substitute good
- C** increase in the price of a substitute good
- D** increase in the supply of tea

C

An increase in the price of a substitute good, such as coffee, makes that alternative more expensive for consumers. As a result, many consumers are likely to switch their preference to tea instead. This higher demand for tea puts upward pressure on its price, causing the price of tea to increase. Therefore, when the price of a substitute rises, it often leads to a rise in the price of the related good.

Why are the other options wrong?

A- If demand for tea falls, fewer people want to buy it, which would cause the price of tea to decrease, not increase.

B- When a substitute good becomes cheaper, consumers tend to buy more of the substitute instead of tea. This lowers the demand for tea, leading to a decrease in its price.

D- If more tea is available in the market, the greater supply usually causes prices to fall, not rise.

7. A firm changes the price of its product and finds that its revenue increases.

Which combination of price change and price elasticity of demand would have caused this?

	price	price elasticity of demand
A	falls	between 0 and 1
B	falls	equal to 1
C	rises	between 0 and 1
D	rises	greater than 1

Inelastic demand: elasticity between 0 and 1

Unit elastic demand: elasticity equal to 1

Elastic demand: elasticity greater than 1

C

When the price of a product rises and total revenue increases, it means that the demand for the **product is inelastic, with a price elasticity of demand between 0 and 1**. In this case, the percentage decrease in quantity demanded is smaller than the percentage increase in price, so the higher price more than compensates for the slight drop in sales. As a result, total revenue rises despite the price increase.

Why are the other options wrong?

A- If price falls and demand is inelastic, total revenue would decrease, not increase.

B- Elasticity equal to 1 means total revenue stays constant when price changes.

D- With elastic demand, a price increase causes quantity demanded to fall proportionally more, decreasing total revenue.

8. What could **not** occur in a market economic system?

- A** a monopolist supplying specialist goods to the market
- B** excessive pollution created by power stations
- C** governments setting minimum wages to relieve poverty
- D** private ownership of firms making defence equipment

C

A **market economic system** is an economic system where decisions about production, consumption, and distribution are guided primarily by the interactions of buyers and sellers in free markets. Prices are determined by supply and demand, and resources are allocated based on individuals' choices and competition.

Governments setting minimum wages involves direct government intervention in the market to control wages, which is not typical in a pure market economy where wages are determined by supply and demand. Therefore, **C** would be the correct option.

Why are the other options wrong?

A- In a market economy, firms can dominate certain niches due to specialization or competitive advantages, so monopolies can exist naturally.

B- Without strict government regulation, firms in a market economy may prioritize profits over environmental concerns, leading to negative externalities like pollution. This is a common issue in market economies.

D- Market economies allow private ownership of firms across many industries, including defence. Private companies can supply goods and services, including specialized areas like defence equipment.

9. What is a correct definition of a demerit good?

- A a good which generates external benefits
- B a good with higher private costs than social costs
- C a good which is more harmful to consumers than they realise
- D a good which provides no costs to third parties

C

A demerit good is one that is harmful to consumers, often more than they realize. These goods impose social costs that exceed the private costs borne by the individual, meaning their consumption can negatively affect society as a whole. Consumers may lack full information about the risks or underestimate the harm, leading them to consume more than is socially optimal. Examples include products like tobacco and alcohol, where the negative effects extend beyond the individual to others in the community. Therefore, C becomes the correct option.

Why are the other options wrong?

A- This describes a **merit good**, which provides positive spillover effects to others.

B- This is incorrect because demerit goods have **higher social costs** than private costs due to negative externalities.

D- Demerit goods do impose costs on others (negative externalities), so this is not true.

10. Within the same firm, one employee is paid a higher wage than another employee.

Which reason for the difference in their wage could be considered discrimination?

- A** They are of different ages.
- B** They have different levels of education.
- C** They have different levels of productivity.
- D** They have different levels of work experience.

A

Discrimination occurs when employees are paid differently based on irrelevant personal characteristics like age, gender, race, or ethnicity, rather than on their skills, productivity, or experience.

Different ages is a personal characteristic unrelated to job performance, so wage differences based on age are considered discrimination.

Why are the other options wrong?

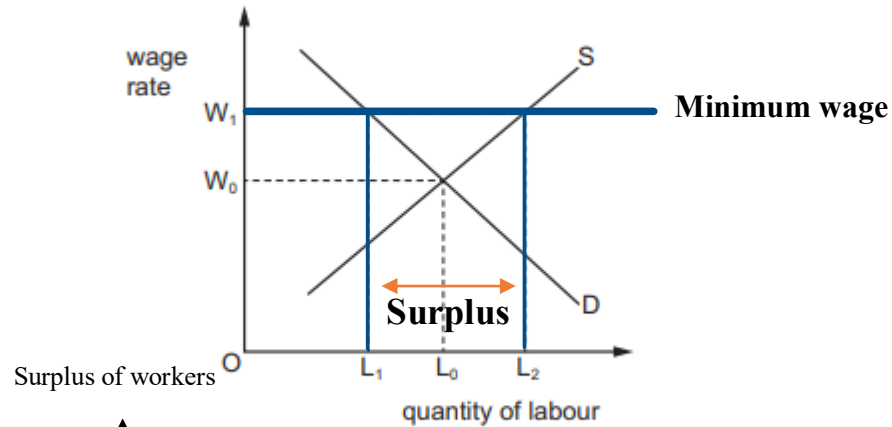
B- Education affects an employee's skills and knowledge, which can improve job performance. Paying more for higher education reflects differences in ability, not discrimination.

C- Employees who produce more or better work contribute more value to the firm. Rewarding higher productivity with higher wages is fair and based on performance, not discrimination.

D- Experience usually improves skills and efficiency. Paying more to experienced workers recognizes their greater contribution, so this is not discrimination.

11. The diagram shows the demand and supply curve of labour for a firm. The initial wage rate is given by W_0 and the equilibrium quantity of labour employed is L_0 .

A trade union that represents all of the workers negotiates a rise in wage rate to W_1 .



What is the amount of unemployment that results from this wage rise?

- A OL_1 B L_0L_2 C L_1L_0 D L_1L_2

12. A farmer introduces machinery to help workers at harvest time. The farmer also reduces the number of workers by 50%. As a result, the total harvest increases by 25%.

What has happened?

- A Labour productivity has decreased and production has decreased.
 B Labour productivity has decreased and production has increased.
 C Labour productivity has increased and production has decreased.
 D Labour productivity has increased and production has increased.

D

- **Labour productivity** is the output produced per worker.
- The farmer reduces the number of workers by 50% but the total harvest **increases by 25%**.
- This means each remaining worker is producing much more than before, so labour productivity **increases**.
- Since the total harvest increased, overall **production also increased**.

- 13.** A firm has fixed costs of \$20 and the following total variable costs.

output	10	20	30	40
total variable costs (\$)	40	60	80	100

What happens to average total cost over this output range?

- A** It falls continuously.
- B** It falls then rises.
- C** It rises continuously.
- D** It rises then falls.

A

$$\text{Average Total Cost (ATC)} = \frac{\text{Total Cost}}{\text{Output}} = \frac{\text{Fixed Cost} + \text{Variable Cost}}{\text{Output}}$$

Output	Fixed Cost (FC)	Variable Cost (VC)	Total Cost (TC = FC + VC)	Average Total Cost (ATC = TC ÷ Output)
10	20	40	60	60 ÷ 10 = 6.00
20	20	60	80	80 ÷ 20 = 4.00
30	20	80	100	100 ÷ 30 = 3.33
40	20	100	120	120 ÷ 40 = 3.00

ATC is falling continuously as output increases. Therefore, **A** would be the correct option.

- 14.** The table shows the costs and output of a firm.

total cost	\$10 000
total variable cost	\$8000
quantity	10

What is the average fixed cost of the firm?

- A** \$200
- B** \$800
- C** \$1000
- D** \$2000

A

Fixed Cost (FC) = Total Cost – Total Variable Cost

$$FC = 10,000 - 8,000 = 2,000$$

$$AFC = \frac{\text{Fixed Cost}}{\text{Quantity}} = \frac{2,000}{10} = 200$$

15. A clothing manufacturer expands by taking over a clothing retailer.

Which type of merger is this?

- A** backward vertical
- B** conglomerate
- C** forward vertical
- D** horizontal

C

A **forward vertical merger** occurs when a business expands by taking over another firm that is at a later stage of the production or distribution process (closer to the final consumer). In this case, a clothing manufacturer acquiring a clothing retailer represents forward vertical integration. This type of merger allows the manufacturer to gain greater control over how its products are sold, improve profit margins by cutting out intermediaries, and strengthen its presence in the market by managing both production and retail operations.

Why are the other options wrong?

A- **Backward vertical**: would be if the manufacturer took over a supplier of raw materials (e.g., fabric producer).

B- **Conglomerate**: would involve merging with a company in a completely unrelated industry.

D- **Horizontal**: would be merging with another clothing manufacturer (same stage of production).

16. What is likely to happen if a previously competitive market becomes a monopoly?

	barriers to entry	economies of scale	the size of the firm
A	decrease	decrease	increases
B	decrease	increase	decreases
C	increase	decrease	decreases
D	increase	increase	increases

D

When a **competitive market becomes a monopoly**, the following are likely to occur:

- **Barriers to entry increase:** A monopoly often establishes strong barriers to prevent other firms from entering the market (e.g., high startup costs, legal protections, patents).
- **Economies of scale increase:** A monopolist usually operates on a large scale, which allows it to lower average costs as output increases, gaining economies of scale.
- **Size of the firm increases:** As competition is eliminated, the monopolist grows larger and becomes the dominant (or sole) supplier in the market.

Therefore, **D** would be the correct option.

17. Which macroeconomic aim, if achieved, is most likely to increase a government budget surplus?

- A** full employment
- B** income redistribution
- C** low inflation
- D** balance of payments stability

A

Full employment means that more people are working, which leads to **higher income tax revenues** for the government and **lower spending on unemployment benefits**. This boosts government income and reduces expenditures, making a **budget surplus more likely**.

Why are the other options wrong?

B- Income redistribution often involves increased government spending on welfare and social programs, which can reduce a surplus.

C- During periods of low inflation, the government might increase spending to stimulate economic growth, support public services, or invest in infrastructure.

D- **Balance of payments stability** relates to external trade and currency flows, not government finances directly.

- 18.** The table shows the income tax rate paid by workers at different levels of income in selected years for a developed economy.

income band (\$)	tax rate year 1 (%)	tax rate year 2 (%)	
0 to 4999	0	0	
5000 to 9999	10	0	] Low-income earners Tax rate ↓
10 000 to 19 999	20	10	
20 000 to 29 999	30	30	
30 000 to 49 999	40	50	] High-income earners Tax rate ↑
50 000+	40	60	

What is most likely to have been the economic objective of the government in changing the tax rates between year 1 and year 2?

- A** to reduce a current account deficit
- B** to reduce income inequality
- C** to reduce inflation
- D** to reduce structural unemployment

B

Between year 1 and year 2, tax rates for higher income bands increased (e.g., from 40% to 60% for \$50,000+), while tax rates for lower income bands decreased or stayed low. This change makes the tax system more progressive, meaning higher earners pay a larger share of their income in tax. Such a policy aims to reduce income inequality by redistributing income more fairly across society.

Why are the other options wrong?

A- To reduce a current account deficit, the government may use expenditure-reducing policies which aim to lower overall spending in the economy. This often involves increasing taxes and raising interest rates to reduce consumption and imports, helping to improve the trade balance. However, in the given table, taxes for lower-income groups decrease and only higher-income groups face increased rates, suggesting the focus is not on broadly reducing expenditure but more on redistribution. Therefore, this option is less likely the main objective behind the tax changes shown.

C- To reduce inflation, governments may implement fiscal policies that raise taxes to decrease consumers' disposable income and reduce demand in the economy. However, since tax rates for some lower income groups have been reduced in the table, this targeted approach suggests the primary aim may not be inflation control, but rather something more focused on income distribution.

D- To reduce structural unemployment, governments usually focus on education, training, and incentives for industries rather than adjusting income tax rates. Since structural unemployment is caused by long-term changes in the economy and skill mismatches, changes in tax rates, especially targeted mostly at higher incomes, are unlikely to effectively tackle this problem. Therefore, the tax adjustments shown are probably not intended to address structural unemployment.

19. A government attempts to raise economic growth with a policy of reduced interest rates.

Which other government objective is most likely to be helped in the short run?

- A lower unemployment
- B price stability
- C reduced income inequality
- D reduced trade deficit

A

When a government reduces interest rates, borrowing becomes cheaper for businesses and consumers. This encourages investment and spending, which increases demand in the economy. As demand rises, firms often hire more workers to meet the higher demand, leading to **lower unemployment** in the short run.

Why are the other options wrong?

B- Lower interest rates often increase consumer spending and investment, leading to higher demand which can push prices up and cause inflation, so price stability is less likely to improve in the short term.

C- Interest rate cuts mostly affect spending and borrowing, but don't directly address the income gap between rich and poor.

D- A reduction in interest rates can boost spending and demand in the economy, which often leads to increased imports. This rise in imports can worsen the trade deficit in the short run, making it unlikely that lower interest rates will reduce the deficit immediately.

20. What is the definition of a supply-side policy?

- A any policy designed to decrease inflation
- B any policy designed to decrease unemployment
- C any policy designed to increase imports
- D any policy designed to increase productivity

D

Supply-side policies are designed to improve the efficiency and productivity of an economy, enabling firms to produce more output with the same or fewer resources. These policies lead to an increase in aggregate supply (AS), shifting the AS curve to the right. This helps promote long-term economic growth, reduce inflationary pressures, and improve competitiveness. Examples include investing in education, reducing regulations, and encouraging innovation. The core aim is to make the economy more productive and capable of sustained growth.

Why are the other options wrong?

A- Inflation can be tackled through different policy tools. Monetary and fiscal policies primarily focus on reducing demand to control inflation in the short term. Meanwhile, supply-side policies help by increasing the economy's productive capacity, which reduces cost pressures and supports lower inflation over the longer term.

B- Fiscal, monetary, and supply-side policies are all used to tackle unemployment. Fiscal and monetary policies address demand-side factors by boosting overall spending and job creation in the short term, while supply-side policies focus on improving skills, training, and labor market flexibility to reduce unemployment sustainably in the long term.

C- Supply-side policies aim to boost domestic productivity and output rather than encouraging more imports.

- 21.** Subsistence farming is the practice of growing crops and raising livestock sufficient only for one's own use without any surplus for trade.

Why is it difficult for a government to measure economic growth in an economy based on subsistence farming?

- A** Farmers' families consume most of their own produce.
- B** Farmers have low rates of saving.
- C** The size of harvest is dependent on the weather.
- D** The surplus produce is sold to the government.

A

Measuring economic growth in an economy based on subsistence farming is challenging because most of the goods produced are used directly by the farmers and their families. Since these goods are not sold or recorded in markets, traditional methods of tracking production and income (such as GDP) do not capture the full extent of economic activity. This lack of market transactions makes it difficult for governments to assess real growth or changes in living standards accurately.

Why are the other options wrong?

B- While low savings might affect investment and long-term growth, it does not directly impact the measurement of economic growth, which relies more on production and income data.

C- Although weather affects harvest size and economic output, it does not make measuring economic growth inherently difficult; fluctuations can be accounted for over time.

D- If surplus produce is sold and recorded, it would actually make measuring economic activity easier, not harder.

22. What is necessary for a worker to be classified as unemployed?

	the worker does not have a paid job	the worker is prepared to work	the worker will accept the current wage rate
A	yes	no	no
B	yes	no	yes
C	yes	yes	no
D	yes	yes	yes

D

To be classified as unemployed, a person must be actively seeking work, available to start, and willing to work at the going wage rate. Simply lacking a job is not enough; they must also be ready and willing to work under current conditions.

Therefore, **D** would be correct as

- The worker does not have a paid job,
- The worker is prepared to work, and
- The worker will accept the current wage rate.

23. What is most likely to increase when the rate of inflation gradually changes from 2% to 8% in one year?

- A** the cost of updating existing price lists
- B** the level of business confidence
- C** the real income of fixed-income earners
- D** the real value of consumer debt

A

When inflation rises rapidly from 2% to 8%, businesses need to frequently update their prices to keep up with changing costs. This leads to higher “menu costs” which are the expenses associated with constantly changing price lists, menus, or catalogs.

Why are the other options wrong?

B- Rapid inflation usually lowers business confidence because it creates uncertainty about future costs and demand, so confidence is more likely to decrease than increase.

C- **Real income** is the purchasing power of a person's income (how much goods and services their income can actually buy after adjusting for inflation). When inflation rises, the real income of people on fixed incomes falls, since their income doesn't increase with prices.

D- Higher inflation reduces the real value of debt because debts are paid back with money that is worth less, so this value decreases rather than increases.

24. The introduction of a minimum hourly wage in an industry aims to reduce poverty among low-paid workers.

What is an advantage to workers of an effective national minimum wage?

- A All workers get paid according to their level of productivity.
- B Firms may look to increase capital equipment rather than labour.
- C Levels of employment become more dependent on wage differences.
- D Redistribution of a firm's income rewards labour rather than owners.

D

An effective national minimum wage increases the income of low-paid workers by ensuring they earn a basic standard wage. This redistributes some of the firm's income towards laborers, helping reduce poverty and rewarding workers rather than just the owners or shareholders.

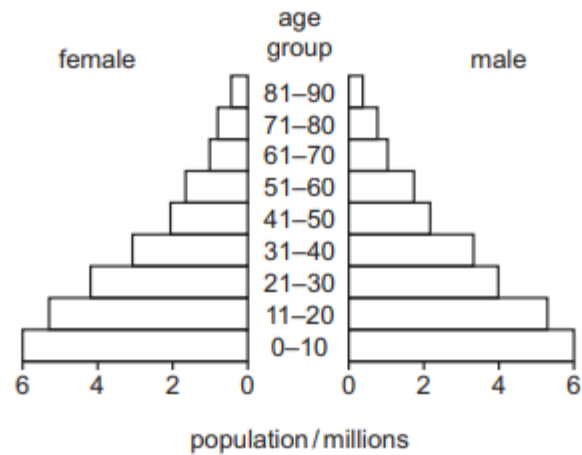
Why are the other options wrong?

A- Minimum wage laws guarantee a wage floor, not productivity-based pay, so some workers might earn more than their output justifies.

B- This is actually a potential disadvantage of minimum wage laws, as higher wages might encourage firms to substitute labor with machines to reduce costs.

C- This is not true because the minimum wage reduces wage disparities by establishing a standard lowest pay. As a result, wage differences among low-skilled workers narrow, so employment is less influenced by wage variations, not more.

25. The chart shows the population pyramid for a country.



What is most likely to cause the population pyramid to be shaped in this way?

	birth rate	death rate
A	low	low
B	low	high
C	high	low
D	high	high

D

The population pyramid's wide base and rapid narrowing toward older age groups indicate a high birth rate combined with a high death rate. This means many children are born, but a significant number of people die at younger ages, preventing the population from growing older. Such a pattern is typical in less developed countries where healthcare and living conditions lead to higher mortality rates, especially among infants and the elderly.

26. The table shows information on four countries.

Which country is likely to be the most developed?

	population (million)	Gross Domestic Product (GDP) (\$ billion)	life expectancy (years)
A	100	800	51
B	200	6000	62
C	300	600	48
D	1000	1600	63

B

To determine which country is most developed, we need to consider both economic output per person (GDP per capita) and life expectancy. GDP per capita is calculated by dividing the GDP by the population, which gives an indication of average wealth and living standards. Life expectancy reflects the overall health and quality of life in the country.

- Country A: GDP per capita = 800 billion / 100 million = \$8,000; Life expectancy = 51 years
- Country B: GDP per capita = 6000 billion / 200 million = \$30,000; Life expectancy = 62 years
- Country C: GDP per capita = 600 billion / 300 million = \$2,000; Life expectancy = 48 years
- Country D: GDP per capita = 1600 billion / 1000 million = \$1,600; Life expectancy = 63 years

Country B has the highest GDP per capita (\$30,000) and a relatively high life expectancy (62 years), indicating the highest development level overall.

27. What is an advantage to a firm of specialisation at a national level?

- A dependency on supplies from other countries
- B greater competition from overseas firms
- C greater depletion of the country's natural resources
- D lower average costs due to economies of scale

D

When a country specializes in producing certain goods or services, it can focus resources and expertise, increasing efficiency. This often leads to larger production scales, enabling firms to reduce their average costs by spreading fixed costs over more output and using more efficient techniques, this is known as economies of scale.

Why are the other options wrong?

A- This is a disadvantage, not an advantage. Specializing in certain goods means relying on other countries for goods you don't produce, which can create risks if those supplies are disrupted.

B- Specialisation can expose domestic firms to more foreign competition, which can threaten local businesses. This is a challenge rather than a benefit.

C- Specialising in certain industries may increase pressure on natural resources, leading to environmental concerns. This is a negative effect, not an advantage.

28. What is an intended outcome of protecting infant industries from free trade?

- A** to decrease the competitiveness of domestic firms
- B** to decrease the demand for exported goods
- C** to increase employment in domestic firms
- D** to increase the supply of imported goods

C

Protecting infant industries (new or emerging sectors) from foreign competition is often done through tariffs, quotas, or subsidies. The intended outcome is to give these industries time to grow, become more efficient, and create jobs within the domestic economy. By shielding them temporarily, governments aim to boost local production and employment.

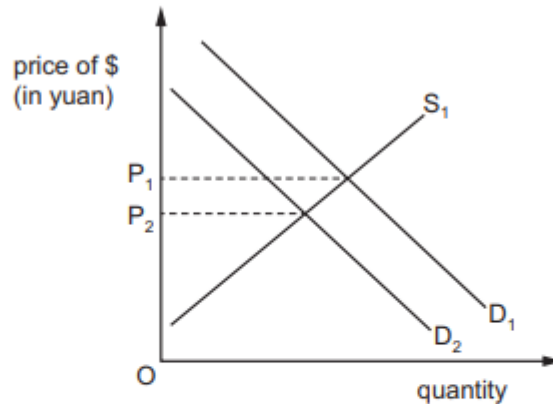
Why are the other options wrong?

A- The aim is actually the opposite, to increase the competitiveness of domestic firms by allowing them time to develop and compete globally.

B- Protectionism focuses on reducing imports, not exports. The goal is to encourage domestic consumption of locally made goods, not reduce export demand.

D- Protecting infant industries often involves limiting imports (e.g. through tariffs), not increasing them.

29. In the diagram, curves D_1 and S_1 relate to the demand and supply of the US dollar (\$) against the Chinese yuan.



What is most likely to cause the demand curve for US dollars to shift from D_1 to D_2 ?

- A a fall in Chinese interest rates
- B a fall in US interest rates
- C a faster growth rate in the US economy
- D a reduction in the US government budget deficit

B

When **US interest rates fall**, investors earn lower returns on US assets. This makes the US less attractive for investment compared to other countries. As a result:

- **Foreign investors demand fewer US dollars** to invest in the US.
- The **demand for the dollar falls**, causing the **demand curve to shift leftward**, from D_1 to D_2 .

Why are the other options wrong?

A- This would make Chinese assets less attractive to investors. As a result, investors might move funds to the US in search of better returns, increasing the demand for US dollars (to buy US assets).

C- Stronger US economic growth usually increases returns on investment and business opportunities in the US. This attracts foreign investment, increasing demand for US dollars. This would result in a rightward shift in the demand for US dollars.

D- A smaller US budget deficit means the government is borrowing less, which makes the economy more stable and attractive to investors. This usually leads to higher demand for US

dollars as foreign investors buy more US assets. Because of this, the demand curve would shift right, not left, so option D is not correct.

30. Brazil had a balance of payments current account deficit of US\$23.5 billion.

Which policy is most likely to reduce the current account deficit in Brazil?

- A** depreciate Brazil's currency
- B** reduce rates of income tax in Brazil
- C** reduce subsidies to Brazil's exporting firms
- D** reduce tariffs on Brazil's imports

A

Depreciating Brazil's currency makes Brazilian goods and services cheaper for foreign buyers. This tends to increase exports and decrease imports because imported goods become more expensive for Brazilians. As a result, the current account deficit is likely to reduce.

Why are the other options wrong?

B- Reducing income tax rates in Brazil increases consumers' disposable income, which may increase spending on both domestic and imported goods, possibly worsening the deficit.

C- Reducing subsidies to exporters can make Brazilian exports more expensive and less competitive internationally, likely increasing the deficit.

D- Reducing tariffs on imports makes foreign goods cheaper for Brazilians, which tends to increase imports and worsen the current account deficit.